

Two things go wrong when you buy a bundled product. One, the cover you get is pathetically small. If you can pay an annual premium of Rs 50,000, it is reasonable to assume that your annual income must be at least Rs 6 lakhs. If you die tomorrow what will Rs 5 lakhs do for your family as an insurance payout? Nothing. Zilch. How much should you have bought? At least Rs 60 lakhs – the ‘why this much’ will get answered in the next section. But let’s just stay with this for a moment longer. What will a Rs 60-lakh cover cost you in terms of premium if you insist on buying this bundled product? About Rs 6 lakhs as premium. Or exactly equal to your annual income! I told you. These plans are terrible.

Why do they get sold so hard? Because of the way the incentive structure is built into life insurance in India. The first-year commission is up to 42 per cent of your premium. For Rs 1 lakh that you invest, up to Rs 42,000 goes to the agent who pushes the policy at you. This is the legal payment. Insurance companies find ways to give commissions on top of what is legally allowed.

One large agency firm told me that they can easily get 80 per cent of the first premium as commission. Those are the stakes of you continuing to buy these dud plans. Don’t you get sold newer products each year in insurance? Now you know why. The first-year commission is the big laddoo every agent is after. Who cares about policy servicing or annual renewal once the first premium is in the bag.

What about ULIPs?★ Think of a ULIP (unit-linked insurance plan) as a mutual fund with a crust of insurance on top of it. ULIPs used to be really toxic products till 2010 but since then have become much better in terms of costs. But they still have problems of poor portfolio disclosure and lack of portability, making them not such great vehicles for investment. ***I prefer to unbundle my investment from my insurance, and stay with a large term plan for my life insurance needs, and buy mutual funds for my investment.*** How large is a large cover?

How much cover do I need?